

Where we are, and what to do this month

Everything in today's money. Numbers come from `plan/assumptions.json` (prepared 2026-09-23) and the observations listed at the foot; nothing on this page is typed by hand.

Retire **2035** Spend **£70k** a year to then, **£60k** after Equity **2% real** in the planning case

Gilts at the **21 Sep 2026** curve

£1.63M

Everything outside the house and the business, 1 Sep 2026

£909k

Index-linked gilt ladder, rungs 2035–2045

£99k

Redeemed by each ISA rung (£106k per SIPP rung), plus coupons

£2.26M

Pots at retirement, 2035, planning case

£1.72M

Left at 2075 after £60,000 a year, planning case

55%

Abby's AVC for the rest of 2026/27; take-home about £2,549 a month

Inputs check: **RED**

- **OK** pots.chrislilsa: assumed 276,716 vs snapshot 276,716 (2026-09-01, 0.0%)
- **OK** pots.abbyVanguardIlsa: assumed 312,573 vs snapshot 312,573 (2026-09-01, 0.0%)
- **OK** pots.chrisIISipp: assumed 439,574 vs snapshot 439,574 (2026-09-01, 0.0%)
- **OK** pots.chrisAccenturePension: assumed 193,081 vs snapshot 193,081 (2026-09-01, 0.0%)
- **OK** pots.abbyAccentureDc: assumed 282,921 vs snapshot 282,921 (2026-09-01, 0.0%)
- **OK** pots.otherSavings: assumed 119,924 vs snapshot 119,924 (2026-09-01, 0.0%)
- **OK** pots.accentureShares: assumed 1,960 vs snapshot 1,960 (2026-09-01, 0.0%)
- **RED** spend.planLine: trailing-12m spend 83,933 vs plan line 70,000 (+13,933)
- **OK** payslip age: newest payslip 2026-08-28 is 26 days old
- **OK** payslip.basicAnnual: assumption 73,837.8 vs payslip 73,837.8
- **OK** ladder rungs: 0 of 0 bought, cost 0 of budget 909,390

Abby's payslip: what to set

From the 2026-08 payslip (tax month 5): doing nothing, adjusted net income lands at £83,015. To finish the year at £59,500 the remaining 7 payslips need £23,515 of extra sacrifice, so **set the AVC to 55%** (£3,384 a payslip). Income then lands at £59,325, take-home falls by about £1,963 to £2,549 a month, and paid basic stays at £29,904 against a minimum-wage floor of £26,508 (fine).

The pivot: Abby's salary sacrifice, year by year

Modelled to the £60,000 line, operated to £59,500. Over the programme: £254k extra into her pension for £151k of take-home, keeping £23k of child benefit.

Tax year	AVC %	Extra sacrifice	Take-home given up	Child benefit kept
2026/27	30%	£22,037	£12,781	£2,337
2027/28	32%	£23,521	£13,642	£2,384
2028/29	33%	£25,035	£14,520	£2,432
2029/30	34%	£26,579	£15,947	£2,480
2030/31	36%	£28,154	£16,892	£2,530
2031/32	37%	£29,761	£17,856	£2,581
2032/33	38%	£31,399	£18,839	£2,632
2033/34	39%	£33,071	£19,842	£2,685
2034/35	41%	£34,775	£20,865	£2,739

How the plan holds up

Equity return, every year	At retirement	After the last rung	At the end	Lifetime tax	Inheritance tax
0% real	£2.10M	£1.63M	£287k	£180k	
2% real	£2.26M	£2.12M	£1.72M	£282k	
4% real	£2.45M	£2.77M	£5.59M	£475k	£

Spend £60k a year from retirement, state pensions of £13k each from 2051 and 2054. The full ledger, the spend × return grid and the historical replay are in `ledger.html` . "Left to the children" is the estate at the end after inheritance tax and the income tax they would pay drawing inherited pensions, before the house.

Drawing the pensions, and what is left

From the year each pension opens, the plan draws taxable pension income up to the top of the basic-rate band (a quarter of each withdrawal tax-free while the lump sum allowance lasts), paying basic-rate tax now rather than leaving pensions to be taxed on death. Planning case, 2% real: the estate at 2075 is £1.72M, of which £0 is still in pensions. Inheritance tax of about £446k and income tax on inherited pensions of £0 would leave about £1.27M to Emmie and Max, before the house. Drawing only to the personal allowance and taking tax-free cash first (the previous assumption) would leave about £953k after £602k of inheritance tax.

Income left over after spending that could be given away under the normal-expenditure-out-of-income exemption: £347k in all, about £11k a year from 2043. Gifts are not modelled: any gift comes out of the buffer the tables above rely on, so it is a decision for the year, not a plan number.

Scenarios

Same engine, different knobs. "Cash out" is the first year the cash line goes negative; "reserve draw" is what the pre-retirement cash flow takes from the reserve by 2035.

Scenario	0% real			2% real			
	At retirement	At end	Cash out	At retirement	At end	Cash out	
Planning case: 60k a year for life the accepted plan	£2.10M	£287k	—	£2.26M	£1.72M	—	£2.45M
70k a year for life the pre-retirement plan line carried on for life	£2.09M	–£127k	2072	£2.25M	£1.09M	—	£2.44M
80k a year for life the 2026 pace	£2.08M	–£552k	2065	£2.24M	£463k	—	£2.43M

Scenario	0% real			2% real				A
	At retirement	At end	Cash out	At retirement	At end	Cash out	At retirement	
carried on for life								
80k to 2040, then 65k heavy years while the children are at home, then 65k	£2.08M	£5.9k	2074	£2.24M	£1.24M	—	£2.43M	£
Reserve spent before retirement cash buffer and crypto both gone by 2035; otherwise the planning case	£1.98M	£149k	—	£2.13M	£1.49M	—	£2.30M	£
Chris £20k take-home, spend 70k, to retirement household cash flow to 2035 with HB + side income at £20k take-home; shortfalls	£2.07M	£243k	—	£2.23M	£1.67M	—	£2.41M	£

Scenario	0% real			2% real			At retirement	At retirement
	At retirement	At end	Cash out	At retirement	At end	Cash out		
from the reserve								
Chris £20k take-home, spend 80k, to retirement as above at the 2026 spending pace	£1.99M	£155k	—	£2.14M	£1.52M	—	£2.33M	£
Previous drawdown: personal allowance, tax-free cash first the planning case with the drawdown assumed before 23 Sep 2026: pensions drawn only to the personal allowance, shortfalls from tax-free cash; compare what is left to the children	£2.10M	£305k	—	£2.26M	£2.10M	—	£2.45M	£
Ratchet forward:	£2.15M	£381k	—	£2.27M	£1.75M	—	£2.41M	£

Scenario	0% real			2% real		
	At retirement	At end	Cash out	At retirement	At end	Cash out
Accenture pot → 2046–50 rungs option only — the pot stays at L&G (decision 3 Sep 2026); taking this would mean transferring it to the SIPP to buy five more rungs at the observed yields; floor extends to 2050						

What this model knowingly gets wrong

- **thresholds-held-real** — The personal allowance and higher-rate threshold are frozen in cash to 2030/31 and CPI-indexed after (modelled from 23 Sep 2026). Still held constant in real terms: the state pension (the triple lock would raise it), the ISA allowance and the cash floor. Small, opposite-signed biases. (*≈£0.5k/yr of tax from 2041*)
- **nic-cap-2029** — From April 2029 salary-sacrificed pension contributions above £2,000/yr attract employee and employer NIC. MODELLED from 21 Sep 2026 ($\text{tax.salarySacrificeNicCapFromTaxYear} / \text{Threshold}$): the pivot loses the NI part of the relief on the AVC from 2029/30 (about £3.7k over the programme) and take-home reflects it. NOT modelled: Accenture withdrawing or capping the salary-sacrifice AVC facility once its own 15% employer-NIC saving disappears — confirm the facility survives before relying on 2029/30+ years. (*≈£3.7k take-home now in the numbers; scheme-availability risk unquantified*) **fix by 2029-04-06**
- **fees-and-crypto** — Platform and dealing fees (~£8k to 2045) are unmodelled; crypto (~£54k) is treated as equity at 2% real and never drawn; the sustainable-spend column in the ledger document is the 3 Sep outlook figure and £70k/yr does not survive the flat-0% case under the ledger's tax rules. (*small*)

- **ihl-estimate** — The estate figure is an order of magnitude: both are assumed to die at the horizon, the house and its residence nil-rate band are outside the model, lifetime gifts (and the seven-year rule) are not modelled, and Emmie and Max are assumed to be higher-rate taxpayers when they draw inherited pensions. *(estate and net-to-heirs only; survival unaffected)*
- **gia-untaxed** — Drawing to the basic-rate band pushes surpluses beyond the ISA allowance into a general account, whose dividends and gains are treated as untaxed. At the planning case the GIA reaches a few hundred £k by the 2060s; dividend and capital gains tax on it are not deducted. *(slightly flatters the late-life balance under the basicBand strategy)*

Inputs behind this page

Assumptions	<code>plan/assumptions.json</code> prepared 2026-09-23 — register in <code>assumptions.md</code>
Gilt prices	2026-09-23T20:33:18.061Z (live)
Gilt yields for the ledger	2026-09-21
Payslip	2026-08 (tax month 5)
Snapshots	2026-09-01